



EQUITY RESEARCH DECK

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DECK STRUCTURE



01 Indian Banking Sector Overview

02 Company Overview

03 Financial Performance Analysis

04 Peer Comparison

05 Strategic Positioning & Valuation Assessment

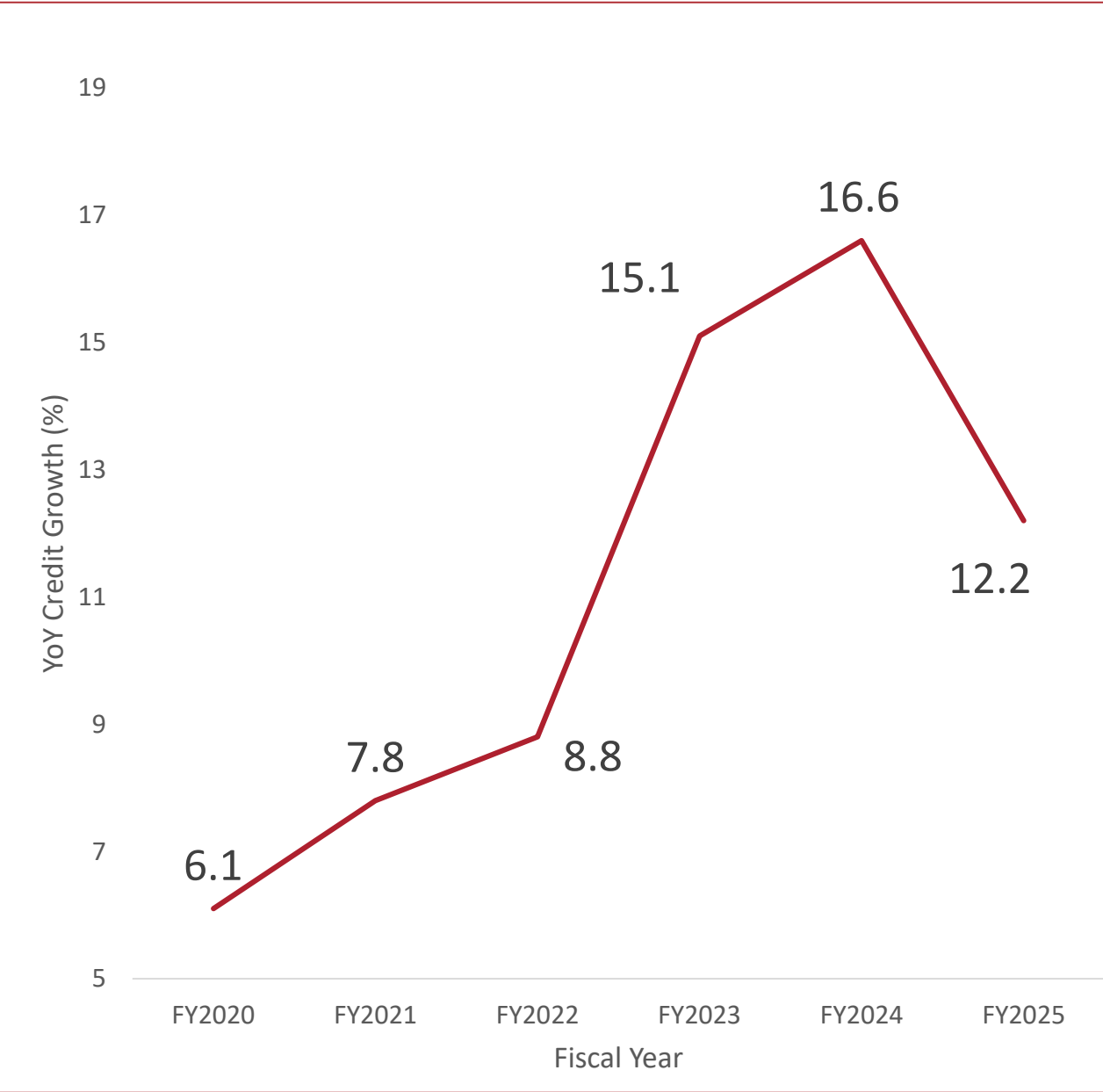
06 Concluding Perspectives



INDIAN BANKING SECTOR OVERVIEW

Credit Growth, Key Growth Drivers & Emerging Risks

YoY Bank Credit Growth (%) Key Growth Drivers



Source: RBI data via PIB

- **Rising credit demand:** Bank credit grew 11.4% in FY2025 after a record 16.3% jump in FY2024, reflecting strong financing needs across the economy.
- **MSMEs as growth engine:** MSME loans expanded about 14-15% in FY2024-25, outpacing retail credit and now accounting for roughly 18% of total non-food bank credit.
- **Improving asset quality:** Gross NPA ratio has dropped to about 2.1-2.3% and net NPA to 0.5% by 2025, releasing capital and boosting banks lending capacity.

Source: Press Information Bureau (PIB), RBI / official banking statistics, Economic Times & Financial Express

Challenges Ahead

- **Deposit mobilization pressure:** Certificates of deposit outstanding rose to ₹5.3 lakh crore (+42% YoY), pushing CD ratios to record highs and increasing funding costs.
- **Unsecured lending risk:** Personal loans and credit cards are showing rising delinquencies, raising concerns around unsecured retail exposure amid uneven income growth.
- **Regulatory transition:** RBI’s proposed 2026 regulatory framework for digital banking, liquidity, and governance is expected to increase compliance costs and operational complexity.

Source: RBI Trend & Progress FY25 Report, RBI FSR Dec 2024, Economic Times BFSI Outlook 2026, CareEdge Q4FY25 Analysis



INDIAN BANKING SECTOR OVERVIEW

Industry Structure & Competitive Dynamics

Structural Competitive Advantages

- **Superior underwriting & asset quality:** Private banks maintain structurally lower NPAs (1.2-1.6% vs 2.6-3.8% for PSUs), supported by digital and data-driven underwriting, translating into higher ROEs (15-18% vs 10-13%).
 - **Technology-led operating efficiency:** Private banks operate with structurally lower cost-to-income ratios (40-50% vs 50-60% for PSUs), driven by digital platforms and leaner operating models.
 - **Capital flexibility & earnings resilience:** Higher ROEs and NIMs (3.3-4.3% vs 2.4-2.9%) enable private banks to fund growth organically, while PSU banks remain reliant on periodic capital infusions.
- Formalisation & retail penetration:** Private banks are better positioned to capture formalized retail and SME credit through scalable digital origination, creating durable customer lock-in and higher-margin growth.

Sources: RBI, Moneycontrol, Kotadiya Earnings, Whalesbook, McKinsey Banking, Wright Research, IBEF

Sector Takeaway

Structural ROE advantage: The Indian banking sector is structurally tilted in favor of well capitalized private banks, enabling sustained ROE outperformance across economic cycles.

Consistency over scale: Superior underwriting, operating efficiency, and capital flexibility allow private banks to compound profitability more consistently than PSU peers, irrespective of system growth volatility.

Credit market share by bank ownership



Source: RBI, Trend and Progress of Banking in India; IBEF



COMPANY OVERVIEW

Business Profile & Segment Overview

Corporate Profile

India’s **second-largest** private sector bank with **₹23 lakh crore** in total assets (FY25) and a diversified retail, corporate, MSME, and treasury franchise.

Classified as an RBI D-SIB, with a pan-India network of **6,500 branches** and a **digital customer base of 200+ million**.

Founded in **1994**, ICICI Bank has evolved into a full-service universal bank over three decades of operations.

Source ICICI Bank Annual Report FY25; RBI

Latest Insights

ICICI Bank reported FY25 profit after tax up 15.5% YoY to ₹47,227 crore, driven by broad-based loan growth and stable asset quality

ICICI Bank increased its stake in ICICI Prudential AMC to 53%, strengthening its asset management franchise and enhancing fee income potential.

Diversified Business Segments (FY25)

Retail Banking	Corporate & SME Banking	Treasury & Other Services
53% (Q4 FY25)	40% (Q4 FY25)	7% (Q4 FY25)
Home loans, auto loans, personal loans, credit cards, rural lending	Large corporates, MSMEs, infrastructure, trade finance	Treasury operations, transaction banking, forex, fees
High-margin, granular, digitally originated growth engine	Cyclical upside with diversified sector exposure	Earnings stability and balance sheet optimization

Source ICICI Bank Annual Report FY25



FINANCIAL PERFORMANCE ANALYSIS

Key Financial Metrics

Metric	FY23	FY24	FY25
Net Interest Income (₹ Cr)	62,129	74,306	81,165
Net Interest Margin (%)	4.48%	4.53%	4.32%
Net Profit (PAT) (₹ Cr)	35,461	46,081	54,569
Gross NPAs (₹ Cr)	31,184	27,962	24,166
Net NPA (%)	0.5%	0.4%	0.4%
ROA (%)	1.8%	2.0%	2.0%
ROE (%)	17.2%	18.8%	17.9%

Source: ICICI Bank Annual Report FY25, Bloomberg, Screener

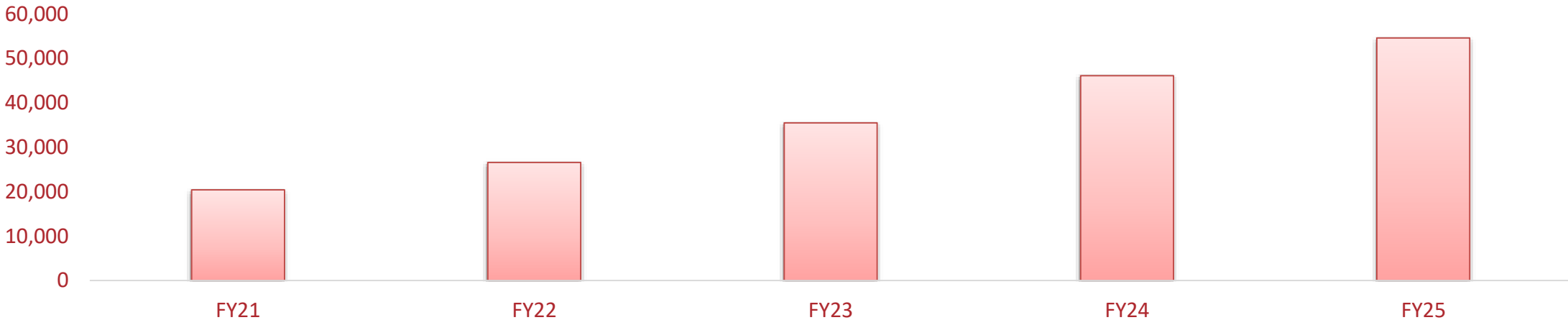
PAT Growth Reflects Structural Earnings Improvement

Key Financial Highlights

- **Sustained earnings compounding:** PAT grew at 24% CAGR over FY23-FY25, driven by strong NII growth (+31% over two years) and stable margins above 4.3%.
- **Margin resilience despite funding pressure:** NIM moderated only 21 bps from peak (4.53% → 4.32%) in FY25, reflecting disciplined pricing and superior deposit franchise.
- **Asset quality at cycle-best levels:** Gross NPAs declined 22% over FY23-FY25, while Net NPA remained contained at 0.4%, supporting capital efficiency.
- **Best-in-class profitability:** ROE sustained 18% with ROA 2.0%, placing ICICI Bank among the most profitable large Indian banks.

Source: ICICI Bank Annual Report FY25, Bloomberg, Screener

Net Profit Growth Trajectory (FY21-FY25)

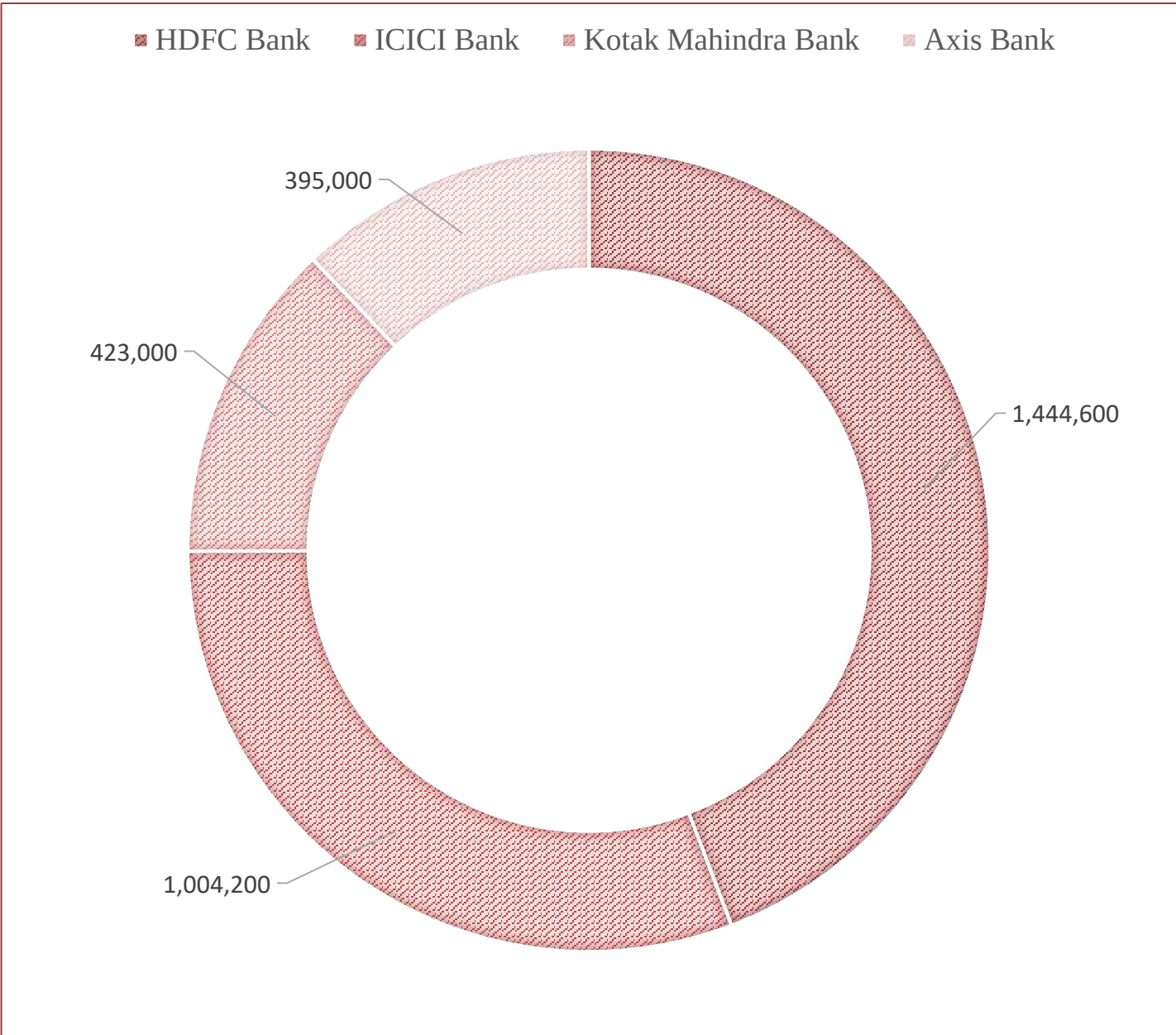




PEER COMPARISON

Relative Profitability & Valuation Positioning

Market Capitalization Share (₹ Cr)



Source: Screener

ICICI Bank outperforms peers by combining retail scale with improving corporate underwriting, delivering superior profitability without balance-sheet stress.

Relative Return & Valuation Metrics

Metric	ICICI	HDFC	Axis	Kotak
Return on Equity (%)	17.89	14.45	16.30	15.37
Return on Asset (%)	2.18	1.74	1.78	2.68
Price to Book Ratio (x)	3.01	2.68	1.99	2.52

Source: Screener

Key Takeaways

- Scale with profitability:** ICICI combines large-scale presence (₹10.0 lakh crore market cap; #2 among private banks) with superior profitability metrics, unlike peers that typically trade off scale for returns.
- ROE-led re-rating:** ICICI's ROE of 17.9% exceeds HDFC and Kotak while trading at 3.0x P/B, indicating valuation support from sustained earnings quality rather than multiple expansion alone.
- Efficient capital deployment:** Higher ROA (2.18%) relative to HDFC and Axis reflects stronger asset utilization and underwriting discipline at comparable balance-sheet scale.
- Competitive sweet spot:** ICICI sits at the intersection of scale (HDFC), efficiency (Kotak), and growth optionality (Axis), positioning it favorably across credit cycles.



Strategic Positioning & Valuation Assessment

Strategic Insights

- **Balanced business model:** ICICI has successfully scaled its retail franchise while rebuilding its corporate book with tighter underwriting, avoiding the concentration risks seen in prior cycles
- **Technology-led operating leverage:** Digital origination and analytics-driven credit assessment have structurally lowered incremental operating costs as the balance sheet scales.
- **Funding franchise strength:** A diversified and granular deposit base provides relative stability in a competitive liquidity environment, supporting margin resilience.
- **Capital flexibility:** Strong internal accruals allow ICICI to fund growth, absorb shocks, and invest in technology without frequent equity dilution.

Valuation Commentary

- **ROE-supported premium:** Trading at **3.0x P/B**, ICICI's valuation is underpinned by sustained **18% ROE**, implying efficient capital deployment rather than speculative re-rating.
- **Superior balance-sheet efficiency:** High ROA (**2.2%**) and improving cost-to-income ratio (**40%**) justify valuation parity with HDFC despite ICICI's faster earnings growth.
- **Asset quality discount narrowing:** Cycle-low Net NPA (**0.4%**) and strong provisioning reduce tail-risk, compressing the historical valuation gap versus best-in-class peers.
- **Earnings quality visibility:** Stable NIMs (**4.3%**), declining credit costs, and improving operating leverage support durability of earnings embedded in the current multiple.

Fundamental Thesis

- **Sustainable compounding at scale:** ICICI is positioned to compound earnings through the cycle, driven by strong profitability, disciplined risk management, and capital efficiency.
- **Attractive risk-adjusted profile:** Compared to peers, ICICI offers a superior balance of scale, returns, and asset quality, limiting downside while preserving upside optionality.



CONCLUDING PERSPECTIVES

Conclusion

- **ICICI Bank has transitioned from a recovery story to a structural compounder.** The bank now operates with a mature risk framework, stable margins, and strong internal capital generation, reducing dependence on favorable credit cycles for performance.
- **Earnings quality has improved meaningfully.** Profit growth is increasingly driven by operating leverage and balance-sheet efficiency rather than credit cost tailwinds, enhancing durability of returns.
- **Strategic balance is the key differentiator.** ICICI avoids the extremes of peer positioning neither constrained by conservative growth nor exposed to aggressive risk-taking allowing it to scale profitably.
- **At current valuation levels, ICICI represents a high-quality exposure to India's formal credit growth,** with returns supported by fundamentals rather than multiple expansion alone.

Key Risks

- **Structural margin compression risk:** System-wide competition for deposits may structurally reset NIMs lower if liability repricing remains faster than asset repricing over multiple quarters.
- **Shift in retail risk dynamics:** Faster growth in unsecured and consumption-led credit could increase sensitivity to employment or income shocks.
- **Execution risk in corporate expansion:** Renewed focus on corporate lending increases exposure to sectoral concentration and underwriting discipline. .
- **Regulatory and capital overlays:** Tighter liquidity, capital or provisioning norms could cap return ratios even in the absence of asset quality stress. .

Key Monitorable

- **Deposit growth vs system credit growth** to assess funding sustainability.
- **Unsecured loan mix and vintage performance** as retail growth normalizes.
- **Corporate loan concentration trends** amid renewed wholesale expansion.
- **Regulatory stance on capital and liquidity buffers** under evolving RBI norms.